

What do we know about employment and wages in North Carolina and the Southeast region?

Mouhcine Guettabi, PhD*

Yves Mfitumukiza Ndayisaba[†]

Employment and wages in North Carolina and the Southeast region have both risen from 2000 to 2024, but not always at the same pace. Employment experienced relatively pronounced negative shocks, especially during the 2008 recession and the COVID-19 pandemic, while wages continued to increase almost every year. However, much of the growth in wages reflects higher prices rather than large gains in purchasing power. Nominal wages increased by about 121% since 2000, but prices rose by roughly 82% over the same period. After adjusting for inflation, real wages are about 21% higher than in 2000, compared with a 27% increase in total employment.

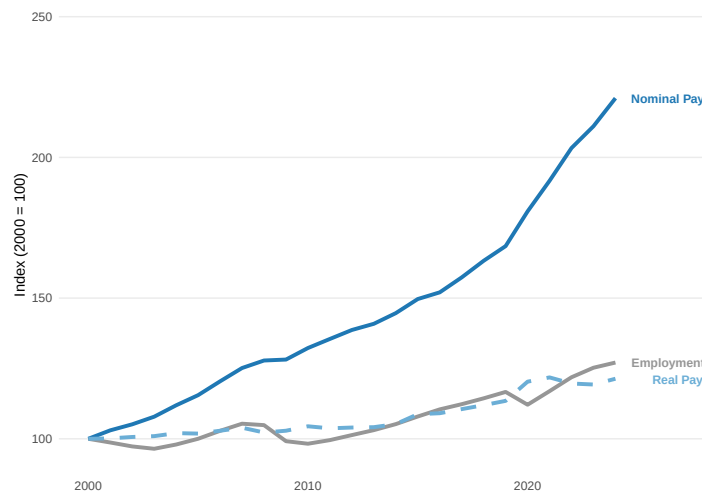


Figure 1: Employment and Pay Growth Rate in North Carolina by year relative to 2000

Ronald & Cynthia McNeill Distinguished Professor of Business, Associate Professor of Economics, and Regional Economist at the University of North Carolina Wilmington

Graduate Research Assistant, University of North Carolina Wilmington

This policy brief examines how employment and wages have changed over time and what these patterns tell us about the region's economy, especially in New Hanover, Brunswick, and Pender Counties. We look at the sectors where people work, how earnings have shifted across industries, and which sectors are driving overall growth.

Painting a broad picture

North Carolina's economy depends heavily on a few large industries, but there is fairly significant variation in earnings across sectors. As shown in Table 1, Trade, Transportation & Utilities, the state's largest employer with 931,367 workers, pays an average of \$58,082 a year. Leisure Hospitality, which employs 468,220 people, has an average wage of \$27,725, the lowest of any major sector. It is important, however, to note that these wages do not include tips or other compensation.

Table 1: North Carolina Industry employment and wages, 2024

Industry	Employment	Industry	Average Pay
Trade, Transportation & Utilities	931,367	Information	\$130,517
Professional & Business Services	742,587	Financial Activities	\$115,747
Education & Health Services	683,054	Professional & Business Services	\$90,600
Manufacturing	473,456	Manufacturing	\$82,194
Leisure & Hospitality	468,220	Education & Health Services	\$68,125
Financial Activities	231,159	Construction	\$63,711
Construction	224,957	Trade, Transportation & Utilities	\$58,082
Other Services	134,318	Other Services	\$47,044
Information	85,803	Natural Resources & Mining	\$48,330
Natural Resources & Mining	28,815	Leisure & Hospitality	\$27,725

Meanwhile, the highest-paying industries employ far fewer workers. Jobs in the information sector pay an average of \$130,517, and Financial Activities averages \$115,747, but both sectors represent only a small portion of total statewide employment. As a result, even though the state's industrial composition is shifting, a relatively large share of the population is still working in

traditional sectors.

To further showcase the differences in earnings growth across sectors, Table 2, shows how much these pay gaps matter once inflation is taken into account. In other words, we show the changes in earnings after adjusting inflation between 2000 and 2024. High-paying industries like the information sector have seen the biggest increase in real pay. In that sector, for example, real wages increased by nearly \$49,000 between 2020 and 2024, but real wage gains in lower-paying industries are far smaller. In Leisure Hospitality, for example, real wages have grown by only \$3,388 over more than two decades.

Table 2: North Carolina Industry Pay

Industry	Nominal Pay (2020)	Real Pay (2000-2024)	Nominal Pay (2024)	Pay Difference
Information	\$44,786	\$81,584.64	\$130,517	\$48,932
Financial Activities	\$43,179	\$78,657.24	\$115,747	\$37,090
Professional & Business Services	\$34,846	\$63,477.39	\$90,600	\$27,123
Construction	\$30,698	\$55,921.17	\$74,318	\$18,397
Natural Resources & Mining	\$24,292	\$44,251.64	\$56,154	\$11,902
Other Services	\$21,163	\$38,551.69	\$48,818	\$10,266
Education & Health Services	\$30,630	\$55,797.29	\$63,880	\$8,083
Manufacturing	\$36,662	\$66,785.52	\$74,559	\$7,773
Trade, Transportation & Utilities	\$28,273	\$51,503.65	\$58,082	\$6,578
Leisure & Hospitality	\$13,360	\$24,337.31	\$27,725	\$3,388

These numbers reveal that many North Carolinians work in industries where wage growth has been limited, even as the statewide economy expands. This statewide context helps set the stage before looking at the spatial distribution of employment across North Carolina counties.

What Counties drive employment across North Carolina?

Employment in North Carolina, like in most states, is unevenly distributed. The employment per-capita map in Figure 2 shows that a small group of largely urban counties offer far more jobs per resident than the rest. Wake county, as of 2024, has about 690 jobs for every 1,000 residents, and Mecklenburg has roughly 528. These counties benefit from major hospitals, universities, corporate offices, tech firms, and finance companies that attract workers from across surrounding areas.

The concentration becomes even clearer when looking at the share of total jobs. As we show in Figure 3, the top ten counties account for more than 70 percent of all employment in 2024. Mecklenburg makes up more than 20 percent on its own, and Wake adds about 15 percent. Counties such as Guilford, Durham, Forsyth, Buncombe, and New Hanover form the next tier of regional job hubs, each supported by a mix of health care, logistics, manufacturing, education, and service industries. Importantly, The concentration of employment has become considerably more pronounced as the top ten counties accounted for 52 percent of statewide jobs in 2000. Agglomeration economies make these large ar-

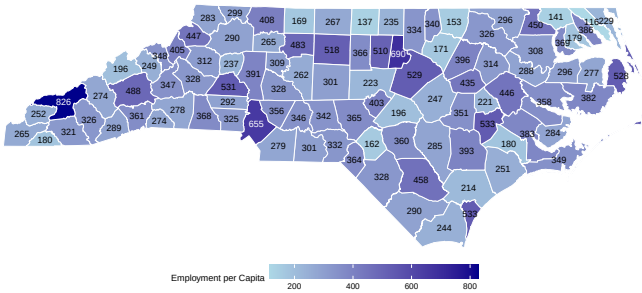


Figure 2: Employment per Capita by county in North Carolina, 2024

reas even more attractive for would be investors further widening the gap between the urban centers and rural areas.

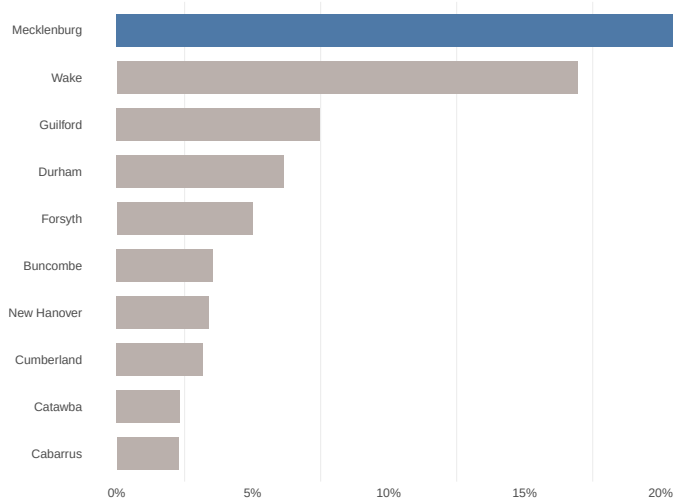


Figure 3: Top 10 counties by share of statewide employment (2024)

Most rural counties have much lower employment relative to population, with some offering fewer than 200 jobs per 1,000 residents. Workers in these areas often rely on a limited number of employers or commute to larger job centers. As a result, North Carolina’s employment landscape is shaped by a few strong anchors surrounded by counties with smaller and more dispersed job markets.

What about the Wilmington metropolitan area?

The Wilmington area is made up of three counties that play very different roles in the region’s economy. New Hanover is the long-standing economic center, while Brunswick and Pender have become two of the fastest growing counties in the state. The employment trends in Figure 4 show the shifting landscape as Brunswick has experienced the strongest expansion. Since 2000, Brunswick county’s employment has grown by about 88 percent, nearly doubling in two decades. Pender is not far behind, with employment rising by roughly 70 percent over the same period. These gains reflect rapid population growth, new housing development, and steady increases in construction and service jobs. New Hanover has also expanded but at a slower pace, with employment up by around 49 percent since 2000, which is not surprising given the county’s much bigger economy at the beginning of the analysis period. Wages have also risen sharply across the region, with average pay now about 116 percent higher in Pender, 115 percent higher in New Hanover, and about 97 percent higher in Brunswick compared with 2000, supported by the long-term trends shown in Figure 5. It is important to note that these are nominal increases in pay but they all exceed the 82% increase in prices. That means that residents of all three counties are better off even after adjusting for inflation.

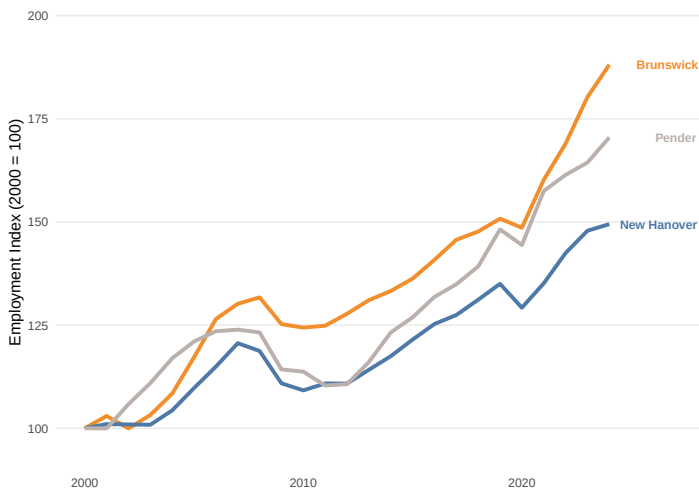


Figure 4: Employment growth in New Hanover, Brunswick, and Pender Counties, 2000–2024

Even with the rapid growth in Brunswick and Pender, New Hanover remains the clear economic anchor. As shown in Figure 6, New Hanover holds 70 percent of all jobs in the metropolitan area, 74 percent of total wages, and 64 percent of the region’s business establishments. It also accounts for 51 percent of the population, sup-

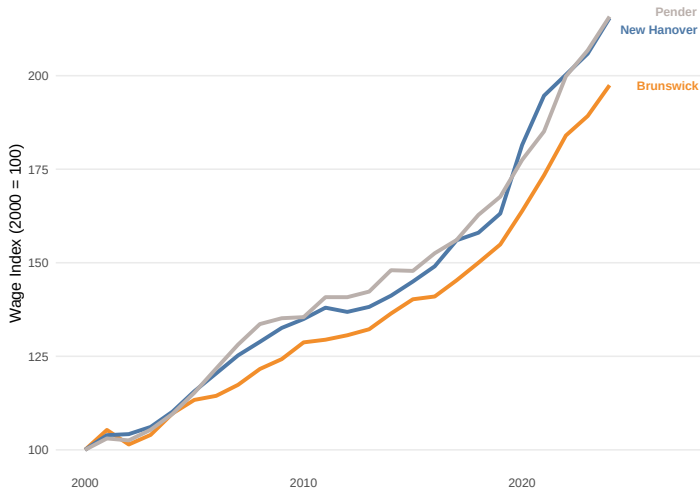


Figure 5: Wage growth in New Hanover, Brunswick, and Pender Counties, 2000–2024

ported by hospitals, schools, tourism activity, the growing finance sector, and the port.

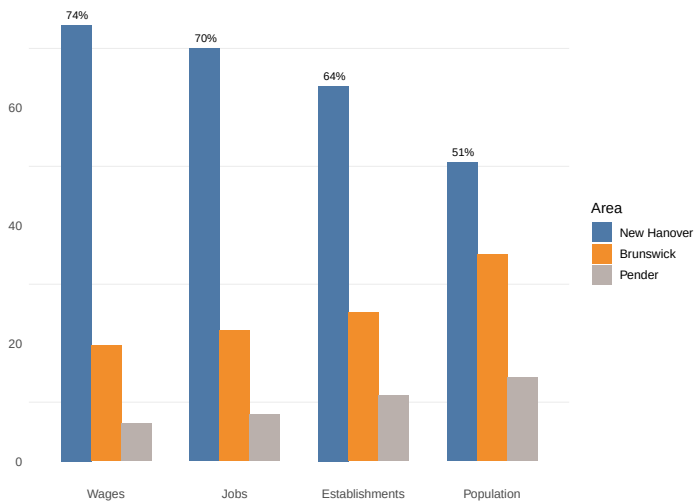


Figure 6: Share of wages, jobs, establishments, and population across New Hanover, Brunswick, and Pender Counties (2024)

Brunswick now makes up 22 percent of regional jobs and more than 35 percent of the population, showing how quickly people and businesses have shifted toward the county. Pender remains smaller but continues to grow steadily, driven by new neighborhoods and local service jobs.

What industries define the region today?

We calculate the location quotient for the three counties in 2024:

$$LQ = \frac{\left(\frac{e_{it}}{e_t}\right)}{\left(\frac{E_i}{E}\right)}$$

where e_{it} = local employment in industry i and county t
 e_t = total local employment in county t ,
 E_i = statewide employment in industry i ,
 E = total statewide employment.

This allows us to see the industries in the counties of interest that are more concentrated than at the state level. Unsurprisingly, the industries that stand out in the Wilmington region reflect the area’s coastal identity and rapid population growth.

The 2024 location quotient chart in Figure 7 shows that all three counties share the same core strengths. Leisure and hospitality is the most concentrated industry across the region, especially in Brunswick and New Hanover. Construction also ranks high in every county, supported by steady development and housing growth. Trade, transportation and utilities sits close to the state average, while education and health services remains below one, meaning it is less common in the region compared with the state overall. This, however, only shows employment concentration at one point in time and does not showcase the evolution of many newer industries in the region over the last decade.

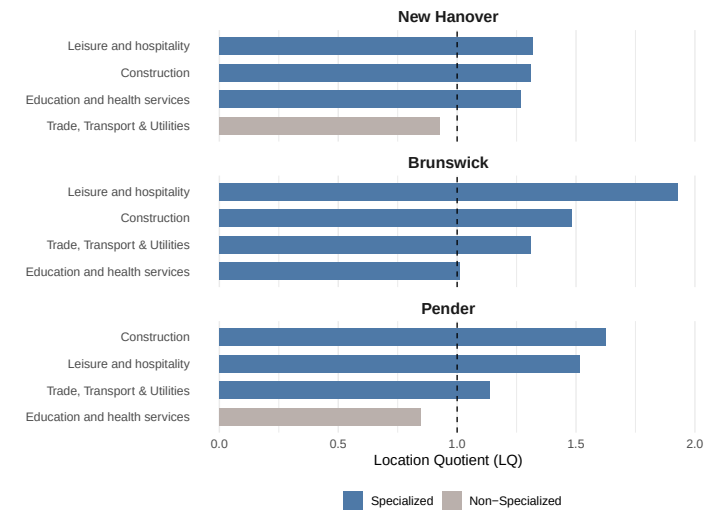


Figure 7: Industry concentration in the New Hanover, Brunswick and Pender (2024)

One way to both understand the current concentration as well as the changing dynamics is to show the location

quotients over time which captures how different sectors are evolving relative to the benchmark.

This long-term view for Brunswick County, shown in Figure 8, illustrates how these specializations have changed over time. Leisure and hospitality has remained high for more than two decades, rising as the county attracted more visitors and seasonal residents. Construction strengthened as population and housing growth accelerated, while education and health services experienced a significant increase in the mid-2000’s and now has roughly a similar concentration to that of the state. The overall picture is one of steady specialization rather than sudden shifts, with the county reinforcing the same industries that define the wider region today.

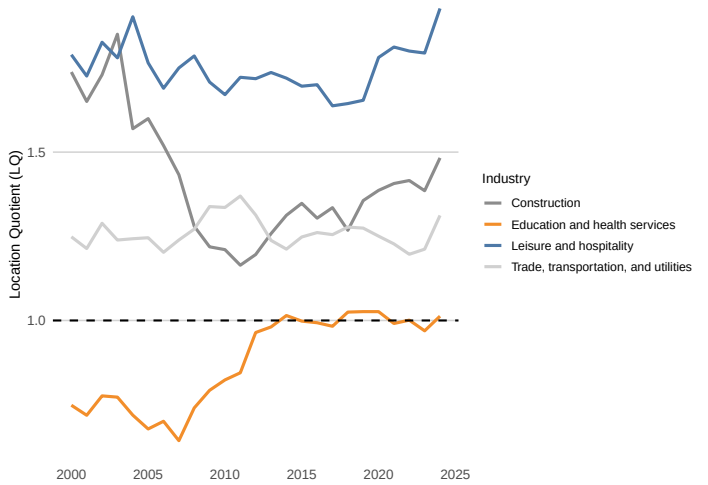


Figure 8: How industry concentration has changed over time in Brunswick County

Why does any of this matter?

The Wilmington region is growing, and while the landscape is changing, the job market remains driven by leisure and hospitality and construction. These industries are important, but they typically offer lower wages and have seen slower gains in real earnings. The economy is diversifying, with notable growth in some non-traditional sectors, yet these still employ relatively few people. This helps explain why some households may feel financial pressure even as employment levels rise. Differences in growth across the three counties also shape future community needs. Brunswick and Pender are expanding quickly, creating added pressure on housing, transportation, and schools. New Hanover remains the region’s main job center, but its slower growth means more workers, shoppers, and residents will continue crossing county lines each day. These shifts affect

traffic, land use, and demand for public services. Understanding these patterns can help local leaders make informed decisions about workforce training, industry recruitment, and development planning. The Wilmington region has clear strengths in attracting visitors as well as new residents. It is also undergoing a significant shift in industrial mix which poses both opportunities and challenges. For residents and workers, the area's evolution highlight both the benefits of strong job growth and the challenges of an economy where wage increases do not always keep pace with rising costs.